Thornfield Capital Management Ltd

Quarterly Portfolio Review — Q2 2025

Prepared for: Mr. James H. Worthington | Account Reference: TCM-2847-JW

Report Date: 30 June 2025 | Relationship Manager: Sarah Chen, CFA

1. Executive Summary

This report provides a comprehensive review of your investment portfolio for the second quarter of 2025. Your total portfolio value as at 30 June 2025 stands at **£2,847,320**, representing a net gain of **£184,210 (6.9%)** over the quarter. This performance exceeded the benchmark FTSE 100 return of 4.2% for the same period.

The strong performance was driven primarily by your technology and healthcare allocations, which benefited from positive earnings surprises in the sector. Your fixed income holdings provided steady income of £18,450 during the period, consistent with our income projections at the start of the year.

Key Highlights: Portfolio return of 6.9% vs benchmark 4.2%. Income generated: £18,450. Largest contributor: Technology allocation (+12.3%). Rebalancing recommendation: Reduce UK equity exposure by 3%.

2. Portfolio Allocation

Your current portfolio is structured across five asset classes in accordance with your agreed Moderate Growth risk profile. The table below shows the current allocation versus your target allocation:

Asset Class	Current Value	Current %	Target %	Variance
UK Equities	£854,196	30.0%	27.0%	+3.0%
International Equities	£683,357	24.0%	25.0%	-1.0%
Fixed Income (Bonds)	£569,464	20.0%	20.0%	0.0%
Property (REITs)	£398,625	14.0%	15.0%	-1.0%
Cash & Alternatives	£341,678	12.0%	13.0%	-1.0%
Total	**£2,847,320**	**100.0%**	**100.0%**	**—**

The UK Equity overweight of 3.0% above target reflects strong domestic performance in the period. We recommend a modest rebalancing in Q3 2025 to bring this back within the target range, redistributing approximately £85,000 into International Equities and Cash.

3. Fixed Income Holdings

Your fixed income portfolio generated income of £18,450 during Q2 2025. Current bond holdings are as follows:

Security	Coupon Rate	Maturity	Face Value	Current Yield	Market Value

UK Gilt 4.25%	4.25%	March 2027	£100,000	4.18%	£101,420
UK Gilt 3.75%	3.75%	July 2028	£80,000	3.82%	£79,340
Barclays Corp Bond	5.10%	December 2026	£75,000	5.05%	£75,680
HSBC Senior Bond	4.85%	September 2027	£60,000	4.91%	£59,820
Lloyds Tier 2 Bond	6.20%	March 2029	£50,000	6.15%	£50,480
Treasury Bill 3M	Variable	Rolling	£100,000	5.10%	£100,000
Cash Deposit	Variable	On demand	£102,724	4.75%	£102,724

4. Risk Assessment and Compliance

Your portfolio has been assessed against your agreed risk profile of Moderate Growth (Risk Level 3 of 5). The current portfolio beta is 0.87, indicating slightly lower volatility than the broad market. The Sharpe ratio for the quarter stands at 1.42, indicating strong risk-adjusted performance.

Regulatory Compliance: This portfolio is managed in accordance with FCA COBS 9A suitability requirements. Your last formal suitability review was conducted on 14 January 2025. A new review is due in January 2026. All transactions during Q2 2025 were executed within the parameters of your Investment Policy Statement (IPS) dated 14 January 2025.

Concentration Risk: No single equity holding exceeds 5% of total portfolio value. The largest single position is Rolls-Royce Holdings plc at 4.8% (£136,671). Sector concentration in Technology stands at 18.2% of equity allocation, within the agreed maximum of 25%.

5. Liquidity and Income

Your portfolio maintains a liquidity ratio of 12.0% in cash and near-cash instruments (£341,678), which exceeds your agreed minimum liquidity requirement of 10%. This provides approximately 18 months of income withdrawals at your current rate of £187,500 per annum without requiring asset disposals.

Income received during Q2 2025 totalled £23,840, comprising bond coupon payments of £18,450 and equity dividends of £5,390. This has been credited to your nominated current account at Barclays Bank (Account: ****4821) on the payment dates specified in your IPS.

6. Charges and Costs

Charge Type	Rate	Q2 Amount	YTD Amount
Annual Management Charge	0.75% p.a.	£5,338	£10,412
Custodian Fee	0.10% p.a.	£712	£1,388
Transaction Costs	Per trade	£340	£680
Platform Fee	0.15% p.a.	£1,068	£2,082
Total Charges		**£7,458**	**£14,562**

7. Recommendations for Q3 2025

1. Rebalance UK Equity overweight: Sell approximately £85,000 of UK equity holdings and redistribute to International Equities (£50,000) and Cash (£35,000) to bring allocation back to target.

2. Consider extending bond duration: The yield curve has flattened. We recommend locking in current yields by extending average bond maturity from 2.4 years to 3.2 years, adding approximately £50,000 to the 2028-2029 maturity bucket.

3. Review property allocation: UK REIT performance has lagged at +1.2% for the quarter. We recommend a review of the property sub-portfolio in July 2025 to assess whether the 15% target allocation remains appropriate.

4. Income planning: Your current withdrawal rate of £187,500 per annum represents 6.6% of portfolio value. We recommend reviewing this rate at your annual review in January 2026 given the strong Q2 performance.
